Franklin University - ECON 251 (Intermediate Microeconomics)
Randy Reid
Tuesday, July 7th.
Assignment Title - "Week 8 Class Meeting"

## Session Topic: Module 8 — Behavioral Economics

- The module draws on evolutionary biology, neuroscience, and psychology to study human behavior and perception, and how the human brain evolved/adapted in ways that don't always match the standard (rational-actor) economic model.
- Framed around the implications for happiness and well-being economics — i.e., where the standard model's assumptions may fall short of explaining real human welfare.
- Instructor referenced a small number of key findings/points to be covered (count unclear in the recording — likely three).

## Risk aversion and risk-taking behavior

- Discussion of whether risk preferences are stable personal traits or context-dependent — evidence pointed toward situational context being central rather than a fixed trait.
- Risk-taking tied to status threats, confrontation, and danger; testosterone was referenced in connection with risk-taking in confrontational or status-competition situations.
- General takeaway: risk aversion/risk-taking is not purely an individual, stable characteristic — it responds to the situation a person is in (e.g., perceived threat, group context).

## Group behavior, cooperation, and corporate parallels

- Evolutionary theory of cooperation discussed, including "parochial altruism" — the tendency to cooperate readily with in-group members while being more guarded or hostile toward out-groups.
- This in-group/out-group dynamic was used to help explain corporate behavior — firms and business groups can behave like coalitions, extending group-loyalty dynamics seen in smaller social groups.
- Experimental evidence mentioned: formal admission into a group appears to increase cooperative behavior and reinforce group loyalty (e.g., gift-exchange style experiments).
- Psychological/neurological basis for ethical and moral preferences was raised as a challenge to the classical economic assumption that preferences are purely self-interested.
- Social norms and institutions were discussed as reference points people use to evaluate economic decisions, and how those norms/institutions themselves can evolve over time.

## In-class game / assignment (cartel & pricing exercise)

- Continues the four-stage game framework used in prior weeks, this time applied to firms deciding on price and quality and the possibility of forming alliances or cartels with other market participants.
- Several possible cartel configurations were described (different groupings of firms banding together) — exact configurations were not clearly audible.
- Each round, participants can accept or reject a cartel's terms, and separately decide whether to stick with their previously agreed price/quality.
- The market runs for a total of ten rounds — the first five under one condition and the second five under a different condition (the exact conditions were not clearly audible, but the second set appears to introduce a change students had to react to).
- Goal throughout: maximize your own profit.
- Deliverable: roughly a three-page paper that discusses the assumptions used while playing, whether cartel formation made the market more efficient or less efficient, and reflects on any deviations (e.g., firms that didn't honor a cartel agreement) and their effect on outcomes.
- A screenshot must be embedded in the paper to receive credit — a screenshot showing no results, or a paper without the screenshot included, will not receive credit.

### Administrative notes

- Some students had not completed the discussion questions from the prior assignment — a reminder was given to finish those (mentioned window of about five days).
- Due date for the current assignment was mentioned but not clearly audible — confirm on the course site/announcements page.
- Instructor reiterated to reach out by email with any questions.